create this new pool, where expenditure—on infrastructure upgradation and installation of smart and prepaid meters—is tightly monitored.

The power ministry also allowed Rural Electrification Corporation (REC) and Power Finance Corporation (PFC) to extend loans to discoms, for which additional prudential norms were put in place. Among these was setting up a Payment Security Mechanism to clear current dues, a commitment to cut discoms' AT&C (aggregate technical and commercial) losses on account of technical problems, theft, payment defaults and billing and collection inefficiencies from around 22 per cent to 12-15 per cent by FY25, and bridging the gap between the purchase cost and sale price of electricity in the same period. This commitment has to be ratified by the state government before being submitted to the lender and the ministry.

And the stick? Delayed payment would result in progressive disconnection of supply from the power exchange. In August 2022, for instance, local dispatch centres barred 27 discoms in 13 states from buying electricity in power exchanges, citing their non-payment of dues to gencos. These legacy dues, which stood at Rs 1.38 lakh crore in June 2022, are estimated to have come down to Rs 40,000 crore in January 2024, and are expected to be fully recovered by the middle of this year.

## BUT IS IT ENOUGH?

Singh may be on the right track, but it remains to be seen whether these efforts will be sufficient to rid the sector of its structural weaknesses. History does little to allay the naysayers' apprehensions. Back in 2001-02, the then Planning Commission member Montek Singh Ahluwalia had worked out a bailout package for state utilities by issuing long-term bonds. These bonds deferred their dues to the lenders, but there was no focus on pushing for efficiency in operations. Two years later, the Electricity Act 2003 made it mandatory for states to unbundle state electricity boards (SEBs) into gencos, transcos and discoms along with giving teeth to regulators. The states took their own time to unbundle their boards; the regulators were unable to thwart the political pressure pushing for cheaper electricity.

Later, during the United Progressive Alliance regime, a committee under former comptroller and auditor general V.K. Shunglu recommended a series of reforms to cut discom losses, but by the end of FY12, their cumulative debt stood at Rs 82,000 crore with AT&C losses at 31 per cent. This forced the then finance minister P. Chidambaram to work out a Financial Restructuring Plan (FRP) for discoms. Only six states opted for this package; others argued that the restrictions put in place were unrealistic and there weren't enough incentives to clean up the existing mess in the sector. Besides, the regulators didn't have the muscle to enforce the reforms.

In the next three years, state-owned discoms had accumulated debt of Rs 3.9 lakh crore and liability of Rs 2 lakh crore to gencos.

A year after coming to power in 2014, the Modi government launched UDAY, or the Ujwal Discom Assurance Yojana, which aimed to improve the financial health of discoms by having state governments take over a portion of their debt. The then power minister, Piyush Goyal, also drew up a five-year roadmap for reforms.



**"The reforms are well-directed and pushed with a lot of will. We have to understand that building robust–financially and operationally–discoms is a long-term reform. The trick is to maintain consistency"**

**RAJIB MISHRA,** *Chairman & Managing Director, PTC India*

**"In the past three decades, I had never seen discoms clear their current or legacy dues. If the present positive trend continues for another 3-4 years, they will become financially stable"**



**ASHOK KHURANA**, *Director General, Association of Power Producers*

While the losses came down initially, UDAY, some argue, failed because several discoms used the funding not to remove inefficiencies but to finance infrastructure augmentation instead so as to achieve the ambitious target of 100 per cent electrification.

Singh took over in 2017. But by 2019, losses had again mounted to Rs 4.5 lakh crore. The bottleneck, experts say, remained in distribution. Discoms were reportedly either unable to purchase power or were unwilling to do so for fear of under-recovery of bills. The problem was further compounded